

Before the
FEDERAL MARITIME COMMISSION
Washington, DC 20573
Docket No. 22-17
Bakerly Inc., Complainant v. Seafrigo USA, Inc., Respondent

**COMPLAINANT’S RESPONSE IN OPPOSITION TO RESPONDENT’S PETITION FOR AN
AWARD OF ATTORNEY FEES AND COSTS**

Complainant Bakerly, LLC (“Bakerly”), by and through its attorneys, and for its Response in Opposition to Respondent Seafrigo, USA Inc.’s (“Seafrigo”) Petition for an Award of Attorney Fees and Costs (the “Petition” or “Pet.”), states as follows:

INTRODUCTION

On January 28, 2025, Seafrigo filed the instant Petition seeking entitlement to attorney fees and costs. In doing so, Seafrigo alleges that Bakerly’s claims were objectively unreasonable and/or frivolous because (1) Bakerly denied that the demurrage and detention charges under dispute were its responsibility, despite historically recognizing an obligation for charges of this kind before the unique circumstances posed by the COVID-19 pandemic; and (2) the Commission held that Bakerly’s claims lacked merit.

However, Seafrigo’s two arguments are insufficient to prove that Seafrigo is entitled to attorney fees—as caselaw requires Seafrigo to provide factual evidence of bad faith and objective unreasonableness. As to the first argument about disputed charges, Seafrigo merely points to prior Orders in its favor as apparent “evidence” that Bakerly is objectively unreasonable. But not prevailing in a case does not equate to objective unreasonableness—

otherwise the prevailing party in every action would be entitled to attorney fees by default, with no need at all for the Commission to consider factors such as reasonableness and good faith.

Second, in an attempt to fit its desired result within the bounds of caselaw, Seafrigo points to wholly rational decisions made by Bakerly and recharacterizes them in its Petition as malicious or objectively unreasonable through half-truths or key omissions. For example, Seafrigo claims that Bakerly improperly drove up discovery costs by unnecessarily requesting production of certain invoices. In actuality, Bakerly simply sought documentation for all charges in dispute—a common (and commonsense) approach to determine the total amount. Those invoices were necessary to create a complete record, and Bakerly did not act in bad faith by requesting them. Even more, Seafrigo agreed that some of the invoices had errors, which justifies Bakerly’s reasonable skepticism about Seafrigo’s invoicing. Precedent is clear that this type of one-sided speculation does not support an order for attorney fees. Accordingly, the Petition should be denied.

The complexity of the underlying case is underscored by the time spent by the ALJ and Commission in rendering their respective findings. In fact, both the Initial Decision from the ALJ and the final decision from the Commission were extended following the filings.¹ An award of attorney fees would oversimplify the complexity and unprecedented facts at issue in this proceeding—something that both Complainant Bakerly and, as can be inferred from the extensions, the FMC wrestled with. Additionally, Seafrigo never filed a counterclaim for payment of the outstanding invoices. If the case brought by Bakerly were as futile and based on bad faith, as Seafrigo alleges, then why did Seafrigo fail to file a counterclaim?

¹ For the Initial Decision, a seven-month extension was provided on July 20, 2023, *See* Docket 51. For the Commission’s final decision, a two-and-a-half month extension was provided on September 26, 2024. *See* Docket 56.

While Bakerly ultimately did not prevail on its claims, Bakerly at all times conducted this litigation reasonably and in good faith. As a result, should the Commission rule in favor of Seafrigo’s Petition, this ruling would deter future complainants with novel or complex cases from filing claims under the Shipping Act out of fear that if they happen to lose on the merits, the intricacies of their cases could be re-interpreted as bad-faith motivations in unsupported petitions for attorney fees. Accordingly, the Petition should be denied.

FACTS

The parties’ relationship dates back to 2015, with Seafrigo providing services as a Non-Vessel Operating Common Carrier (NVOCC) to Bakerly, an importer of specialty French products. For the shipments at issue in this case, Bakerly contracted with Seafrigo for door delivery of goods. *See* Docket No. 22-17 (October 30, 2024 Order) at 3. Bakerly received increasing detention and demurrage charges from Seafrigo beginning in January 2021, for charges starting in December 2020, and continuing through March 2022. Bakerly also raised concerns with Seafrigo’s duplicative invoicing system, which made it difficult for Bakerly to understand the invoiced charges. *Id.* at 16. Communications between the parties ultimately broke down due to ever-increasing detention and demurrage costs and a lack of transparency regarding the invoices. *Id.* at 6.

On July 27, 2022, Bakerly commenced this proceeding by filing a complaint (the “Complaint” or “Compl.”) against Seafrigo alleging violations of the Shipping Act of 1984, as amended (the “Shipping Act”). Compl. at ¶¶ 9–14. Specifically, Bakerly accused Seafrigo of the following violations of the Shipping Act and the Incentive Principle:

1. Violating 46 U.S.C. § 41104(a)(2)(A) by charging demurrage to Bakerly when the Rules Tariff and bills of lading required door delivery; 46 U.S.C. § 41104(a)(14),(15)(A)(B); § 41102(c); and

46 C.F.R. § 545 (the “Interpretive Rule on Demurrage and Detention Under the Shipping Act”) by issuing demurrage charges that were inconsistent and unreasonable because of the door delivery requirement, and the Rules Tariff provisions specifically exempting Bakerly from demurrage in door delivery circumstances;

2. Violating 46 U.S.C. § 41104(a)(14)–(15)(A),(B) by issuing demurrage and detention charges that were inconsistent and unreasonable under 46 U.S.C. § 41102(c) because of Seafrigo’s duplicative invoicing practice;
3. Violating 46 C.F.R. § 545 because Seafrigo’s invoices did not meet the information requirements of the Interpretive Rule; and
4. Violating 46 U.S.C. § 41104(a)(2)A) by charging demurrage and detention to Bakerly during a snowstorm, in a manner inconsistent and unreasonable given the door delivery requirement and the impossibility of meeting the standards of “Cargo availability” and “Empty container return” set forth in Incentive Principles of the Interpretive Rule, again in contravention of 46 U.S.C. § 41104(a)(14),(15)(A)(B); § 41102(c); and 46 C.F.R. § 545.

See Compl. at ¶¶ 9–14; *see also* Brief at 8–9.

Bakerly argued that Seafrigo violated the Filed Rate Doctrine by charging Bakerly demurrage in contradiction of Seafrigo’s Rules Tariff and bill of lading terms and conditions. Bakerly also objected to Seafrigo’s duplicative invoicing practice, which led to Bakerly being overcharged and which it claimed amounted to an unreasonable practice and policy, in violation of the Shipping Act. Bakerly also alleged that Seafrigo improperly paid demurrage and detention when ports were closed between December 2020 and January 2021 and therefore assumed those charges at its own risk and should not have passed them on to Bakerly. Finally, Bakerly explained that Seafrigo violated Federal Rule of Civil Procedure 33 by issuing a late discovery dump of over 1,000 documents without providing “descriptive information about what was

contained in the 2,000-plus pages of PDFs or to which discovery request the documents related.” Brief at 61.

LEGAL STANDARD

Under the Coble Act, Pub. L. No. 113281, §402, 128 Stat. 3022 (Dec. 18, 2014), the Commission may at its discretion award reasonable attorney fees to a prevailing party in a complaint filed under 46 U.S.C. § 41301; *see also* 46 C.F.R. § 502.254(a). To receive attorney fees, the petitioner must prove by a preponderance of the evidence that it is eligible for attorney fees, as the prevailing party, and entitled to attorney fees, as consistent with the Shipping Act; then the petitioner must specify the hours on which the award would be based and provide supporting evidence for the rates sought. 46 C.F.R. § 502.254(d)(1); *see also* Fed. Mar. Comm’n., Statement of the Commission On Attorney Fees, Commission Docket No. 21-14 (FMC 2021), at 2.

For the petitioner to be eligible, the Commission must judge it to be a “prevailing party” in a Shipping Act complaint. Final Rule, 81 Fed. Reg. at 10515. Then, the Commission decides if the petitioner is entitled to attorney fees, meaning the party’s receipt of fees would be “consistent with the purposes of the Shipping Act.” *Id.* To safeguard those purposes, the Commission makes no general presumption for or against awarding attorney fees and treats prevailing complainants and prevailing respondents evenhandedly. Moreover, the Commission has held that “parties should be encouraged to litigate meritorious claims and defenses,” 81 Fed. Reg. at 10515, and is mindful of the “chilling effect” an award of attorney fees may have on complainants, particularly those raising unconventional and innovative claims and defenses. *See Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, et al., Docket No. 14-04, 2016 FMC LEXIS 58, at *23 (FMC Sept. 14, 2016).

Seafrigo has not met its burden of proving entitlement to attorney fees. Therefore, because awarding fees to Seafrigo would run contrary to the purposes of the Shipping Act, the Petition should be denied.

ARGUMENT

I. Seafrigo has not proven by a preponderance of the evidence that it is entitled to attorney fees.

Seafrigo has failed to seriously contest—let alone prove by a preponderance of the evidence—that Bakerly’s case was genuine and litigated in good faith. As a result, Seafrigo cannot claim entitlement to attorney fees.

While the Commission has declined to create an exhaustive list of factors for determining a prevailing party’s entitlement to attorney fees, 81 Fed. Reg. at 10515, the Commission’s 2021 Statement on Attorney Fees provides a list of issues that are frequently analyzed: frivolousness/objective unreasonableness, improper motivation, litigation misconduct, deterrence, and compensation. Fed. Mar. Comm’n., Statement of the Commission On Attorney Fees, Commission Docket No. 21-14 (FMC 2021), at 4–5. To prove that any factor favors an attorney fee award, the prevailing party must do more than speculate as to its opponent’s impropriety but instead produce concrete evidence supporting its contentions. *See Logfret, Inc. v. Kirsha*, Docket No. 18-10, 2 F.M.C.2d 110, 114 (FMC June 22, 2020) (declining to find in favor of prevailing party on several factors based on conclusory statements).

For each of these factors, Seafrigo relies solely on naked speculation and misrepresentation of the facts. The Commission should therefore deny the Petition, as Seafrigo has failed to meet its burden to show it is entitled to fees. Specifically, Seafrigo has failed to prove that Bakerly acted with frivolousness, objective unreasonableness, improper motivation, or litigation misconduct. Furthermore, Seafrigo has not proven that Bakerly’s conduct requires

deterrence, such as failing to respond in the proceeding or engaging in prohibited acts, or that Seafrigo is an unsophisticated party or otherwise uniquely positioned to require compensation following this proceeding. Each such factor is addressed in turn below.

a. Bakerly's claims were not objectively unreasonable or frivolous.

Seafrigo's Petition relies on mischaracterization to argue that Bakerly was frivolous and objectively unreasonable in the underlying proceeding. A party engages in frivolous or objectively unreasonable behavior when its *actions* lack legal or factual merit. Fed. Mar. Comm'n., Statement of the Commission On Attorney Fees, Commission Docket No. 21-14 (FMC 2021), at 4. An example of a meritless legal action is failing to substantiate a fact. *Edaf*, 2016 FMC LEXIS 58, at *30.

However, importantly, the Commission has explicitly refused to equate the Commission's own determination that the claim lacks merit with a finding that a claim is frivolous or objectively unreasonable. *See Logfret*, 2 F.M.C.2d 110, at 114 ("The mere fact that respondent has prevailed does not render a complainant's claims objectively unreasonable, otherwise prevailing respondents would be per se entitled to attorney fees, an approach the Commission has rejected.") In other words, Seafrigo is not entitled to attorney fees simply because it prevailed in the underlying dispute.

Seafrigo's insistence that Bakerly's complaint was frivolous and unreasonable embodies the very dilatory tactic the Commission denounced. The parties disagreed as to whether their past course of conduct or the explicit language of the bill of lading terms and conditions and Rules Tariff provisions should govern liability for detention and demurrage in this case. *See, e.g.*, Brief at 30, n. 2. Further, the parties disagreed as to the interpretation of the terms and conditions and Rules Tariff provisions and the import of "door" delivery. Ultimately, the Commission chose to decide the claims based on the past course of conduct and interpreted the terms and conditions as

Seafrigo had argued them. *See* Docket No. 22-17 (October 30, 2024 Order). But deciding in Seafrigo’s favor on a novel, complex legal question does not retroactively render Bakerly’s arguments related to the Filed Rate Doctrine and Bakerly’s interpretation of the terms and conditions as frivolous and objectively unreasonable. Again, “the Commission does not grant attorney fees when the complainant’s claim is only found to be unpersuasive.” *Seafair USA LLC v. Sterling Container Line Ltd.*, Docket No. 22-34, 2024 FMC LEXIS 624, at *9 (FMC Aug. 28, 2024).

Seafrigo’s sole attempt to characterize Bakerly’s arguments as illegitimate relies on the contention that Bakerly failed to deny responsibility for the detention and demurrage charges while they were accruing. Pet. at 7. However, Bakerly cited many emails in which Bakerly simultaneously refused to pay Seafrigo invoices based on the lack of documentation and minimal support. *See* Brief at 28 (citing examples of refusals to pay in September 2021, October 2021, December 2021, and February 2022)). The Commission should not reward Seafrigo’s cherry-picking of the emails produced in the record by granting Seafrigo’s Petition.

b. Bakerly was not improperly motivated.

An improperly-motivated party is one who advances a claim or defense that “knowingly gamble[s] on an unreasonable legal theory in order to achieve a secondary gain.” *Logfret*, 2 F.M.C.2d 110 at 116 (quoting *Creazioni Artistiche Musicali, S.R.L. v. Carlin Am., Inc.*, Case No. 14-cv9270, 2017 U.S. Dist. LEXIS 124082, at *11 (S.D.N.Y. Aug. 4, 2017)). The Commission requires that a party seeking attorney fees proves that its opponent had more than “questionable” motives. *Seafair*, 2024 FMC LEXIS 624 at *12. Instead, the prevailing party must provide “specific evidence of a secondary motive” to prove this factor. *Id.* The Commission and caselaw are clear that this secondary motive must be settlement, harassment, or financial damage to a competitor. Fed. Mar. Comm’n., Statement of the Commission On Attorney Fees, Commission

Docket No. 21-14 (FMC 2021), at 4 (citing *Logfret, Inc. v. Kirsha*, B.V., 2 F.M.C.2d 110, 116 (FMC 2020); *Logfret, Inc. v. Kirsha*, B.V., 2 F.M.C.2d 35, 40 (ALJ 2020)).

However, none of these factors are at issue. Seafrigo additionally fails to allege the requisite “specific evidence” of one of the secondary motives outlined by the Commission. Instead, Seafrigo baselessly argues that “Bakerly sought to delay payment and force Seafrigo to incur extensive legal fees in order to collect amounts that Bakerly clearly owed.” Pet. at 8. Seafrigo has offered no specific evidence to support this weighty accusation of a secondary motive but instead insists without evidence that Bakerly *should have* agreed to exclude smaller-valued invoices from the dispute. In theory, excluding some subsets of documents might streamline the discovery process in any case. However, discovery in a case like this one, with many shipments and many invoices, is generally time-consuming. A complainant is not obligated to exclude large swaths of relevant documents from its discovery requests simply because doing so is easier on the respondent.

Furthermore, for months before Bakerly filed its case, it requested select documentation supporting the onslaught of demurrage and detention invoices Seafrigo continued to send with little context. *E.g.*, Brief at 14. Relatedly, prior to filing its legal complaint, Bakerly made several attempts to repair the parties’ professional relationship and obtain the information it needed; for example, the parties agreed that Seafrigo would send weekly D&D reports. Brief at 14. Seafrigo did not follow through on this agreement, and the scattered invoices it did send contained “erroneous and incomplete information.” *Id.* Bakerly’s complaint was a last resort to address over \$2 million in unsupported charges that it had good reason to believe had been improperly issued. For Seafrigo to now argue that Bakerly somehow always “knew” that it owed these

charges requires the Commission to ignore Bakerly's monumental efforts to untangle these relevant questions since 2021. Pet. at 8.

Seafrigo's only "evidence" supporting its contention of bad motive is the fact that Bakerly had previously paid several demurrage and detention invoices to Seafrigo. Brief at 28. According to Seafrigo, Bakerly refused to pay the invoices at issue because it had decided to mastermind a legal complaint to shift responsibility for those payments onto Seafrigo. Pet. at 7. This fantastical version of events ignores numerous salient facts and other evidence that easily disprove that conclusion and which are included in the record for this case: the many documented requests for information Bakerly sent to Seafrigo regarding the disputed invoices (Bakerly Br. Exceptions to Initial Decision, Docket 54 at 6); the ballooning of invoiced charges during this period (which was notably and unprecedentedly happening throughout the industry at this time due to port congestion from COVID-19) (Brief at 14); and the fact that Seafrigo's duplicative invoicing practice resulted in it sending invoices for demurrage charges while demurrage *remained ongoing*, in contravention of the parties' practices up until that point (Brief at 15–18).

Most astonishing of all, Seafrigo's Petition conveniently fails to mention the undisputed fact that there were errors in its invoices. Bakerly has made its discomfort with these errors clear since the inception of this litigation, and indeed argued that overcharges to Bakerly harmed freight fluidity and amounted to an unreasonable practice under 46 U.S.C. §§ 41102, 41104, and 46 C.F.R. § 545. *See* Brief at 55. However, these undisputed overcharges provide both a logical and legal reason for Bakerly to halt payment. By failing to mention its overcharges in its Petition, and its duplicative invoices that prevented Bakerly from discovering and identifying those charges for a significant period of time, Seafrigo attempts to obfuscate a highly understandable,

legitimate, and proper motive for Bakerly to refuse to pay demurrage and detention invoices with an established business partner.

In short, Seafrigo has failed to tie Bakerly's "failure to perform to any facts that would demonstrate an improper motive in this case." *Seafair*, 2024 FMC LEXIS 624 at *13. As it did in *Seafair*, the Commission should recognize that the prevailing party has fallen short of its burden to prove improper motive and hold that this factor points in favor of denying the Petition.

c. Seafrigo, not Bakerly, engaged in litigation misconduct.

Litigation misconduct is an improper use of proceedings to harass an opponent or cause undue delay. 45 C.F.R. § 502.6(a). As with the other entitlement factors, it is insufficient for one party to summarily conclude that the other engaged in misconduct. *Compare MSRF, Inc. v. Hmm Co. Ltd.*, Docket No. 22-20, 2024 FMC LEXIS 302, at **18–19 (FMC Apr. 15, 2024) (Commission refuses to infer misconduct from "unconventional" arguments and quickly corrected errors in a damages spreadsheet) *with Edaf*, 2016 FMC LEXIS 58 at **1–2 (Commission finds misconduct when party fails to file a brief, provide proposed findings of fact, and respond to a show-cause order).

For the whole of the proceedings, Bakerly has followed Commission procedures and deadlines, supported its claims with zealous fact-finding and reasoned analysis, and remained responsive to the Presiding Officer and opposing counsel. The Commission has consistently refused to find litigation misconduct in complainants that have behaved in such a manner. *E.g.*, *MSRF*, 2024 FMC LEXIS 302 at *18 (refusing to find litigation misconduct in a "timely but unconventional brief").

Seafrigo creates its argument for litigation misconduct by—once again—relying on subjective opinions or outright falsehoods. Seafrigo begins with a discussion of the parties'

confidential mediation with CADRS. Pet. at 8. By Seafrigo’s account, Bakerly “refus[ed] to meaningfully engage in mediation.” *Id.* Bakerly apparently also “repeatedly promised to engage in settlement discussion” but never followed through. *Id.* Seafrigo subjectively opines that Bakerly “wasted the time” of the mediator, costing *only* Seafrigo time and money, when the simple truth is that Bakerly expended substantial time, cost, and effort in the mediation process. While Bakerly agrees that it is unfortunate that the parties were not able to resolve their differences through mediation, it does not see this failure as “misconduct” requiring penalty. Nor should the Commission.

More troubling to Bakerly is Seafrigo’s recasting of the parties’ experiences with discovery. Seafrigo takes issue with the costs it incurred by Bakerly’s requirement that it produce all the invoices at issue in the Complaint. Pet. at 8. Seafrigo claims it was “forced” to comply, and that the resulting costs were “unnecessary and unwanted.” *Id.* Yet Seafrigo cites no legal authority supporting its argument that Bakerly was wrong to turn down its request to “streamline” the discovery process. *Id.* This is because no such authority exists. The Complaint argued that all relevant invoices were unlawful under the Shipping Act. Compl. ¶ 9. While it may have been inconvenient for Seafrigo to produce these invoices, this does not make the request unreasonable or irregular in the context of a Commission proceeding. In fact, the Commission has stated that evidence in its proceedings can necessarily be “voluminous” and the hallmark of misconduct is not size but “proportion to the claims at issue.” *Seafair*, 2024 FMC LEXIS 624 at *15. Given that Bakerly was merely requesting direct documentation of the charges it objected to paying, its ask was proportional.

In reality, it was Bakerly, not Seafrigo, who initially experienced hardship during the discovery process that drove it to request sanctions. *See* Docket No. 22-17 (October 30, 2024

Order) at 7. All told, Seafrigo released more than 2,000 documents *after* the discovery deadline without providing “descriptive information about what was contained” therein or “to which discovery request the documents related.” Brief at 61. Both Judge Wirth, in the Initial Order, and Seafrigo itself acknowledged that this production was disorganized. Docket No. 22-17 (October 30, 2024 Order) at 7–8. That the Commission ultimately concluded that the deadline violation and disorder did not rise to the level of a Federal Rule of Civil Procedure 33 violation does not erase the significant efforts Bakerly undertook to detangle and analyze these documents. Also, Bakerly continues to take issue with Seafrigo’s conduct toward Bakerly and the Commission in relation to this late production. Specifically, Seafrigo represented to the Commission that over 1,600 documents is a “minimal number” and attempted to obfuscate the confusion it caused by insisting that it was merely “reproducing” documents, not acknowledging that its failure to provide consistent Bates labels or a useable inventory required Bakerly to re-review these documents as if they were new. Brief at 61–62. While accepting the Commission’s findings on the discovery dispute, Bakerly finds it incredible that Seafrigo would now try to turn the tables and claim to have experienced misconduct given the evidentiary record.

d. Awarding Seafrigo attorney fees would run contrary to the purposes of the Shipping Act with respect to compensation and deterrence.

On occasion, the Commission weighs the deterrent and compensatory impact of attorney fees in an entitlement inquiry. Statement of the Commission On Attorney Fees, Commission Docket No. 21-14 (FMC 2021), at 4–5. Because the principles of the Shipping Act include encouraging meritorious claims and maintaining no presumption either for or against awarding attorney fees, the Commission avoids over-emphasizing these factors in the inquiry. *Id.* Taking these considerations together, the Commission has held that both deterrence and compensation as factors weigh against awarding attorney fees in cases when the non-prevailing party has raised a

legitimate complaint and the prevailing party failed to make a special case for requiring compensation to be made whole. Fed. Mar. Comm’n., Statement of the Commission On Attorney Fees, Commission Docket No. 21-14 (FMC 2021), at 5.

The “purposes of the Shipping Act are met when complainants are able to raise potential violations, even under unusual or unique circumstances.” *Logfret*, 2 F.M.C.2d 110 at 117.

Bakerly raised a good-faith, legally defensible claim under the Shipping Act. It argued its claims comprehensively, and at all times abided by procedural rules and requirements. As detailed above, Bakerly advanced a legitimate interpretation of the Filed Rate Doctrine grounded in precedent, which formed the basis for its arguments concerning the detention and demurrage charges between the parties. Brief at 30. The Petition makes no case as to why the Commission has any reason to deter this type of claim. In fact, awarding attorney fees under these facts may deter future litigants from bringing forward meritorious claims, especially those concerning unprecedented events such as the port congestion due to the COVID-19 pandemic. The Commission should therefore find that the deterrence factor weighs against Seafrigo.

Likewise, Seafrigo has not made a case that it is entitled to compensation. The Petition complains of discovery costs and drawn-out litigation but points to no concrete facts indicating Bakerly created those problems. Petition at 8–9. That Seafrigo was the target of Bakerly’s claims, and having prevailed on the merits, does not by itself amount to proof that Seafrigo deserves an additional award. Seafrigo is a regulated entity under the Shipping Act and cannot reasonably act as though it is not prepared to defend itself at the FMC. 46 U.S.C. § 40102(17). Any finding otherwise contradicts the Commission’s stance against creating a presumption for or against a fee award for a prevailing party over a non-prevailing party, or a complainant versus a respondent. 81 Fed. Reg. 10508.

II. In similar cases, the Commission has repeatedly declined to award attorney fees to prevailing respondents.

The Commission's interest in promoting meritorious claims is particularly endangered when a prevailing respondent files a petition for attorney fees. Repeatedly, the Commission has warned of the "chilling impact" such an award can have on meritorious claims, and the frequency with which prevailing respondents confuse a successful defense with a finding that their opponent's entire argument was frivolous. *See, e.g., MSRF*, 2024 FMC LEXIS 302; *Seafair*, 2024 FMC LEXIS 624; *Logfret*, 2 F.M.C.2d 110. Because Seafrigo fails to distinguish its case from these precedents, the Commission should reach the same conclusion in this case and rule against the Petition.

In *Logfret*, the complainant raised novel arguments as to whether the respondents were regulated entities under the Shipping Act. 2 F.M.C.2d 110 at 114. While the Commission ruled against these claims, it refused to find them meritless or objectively unreasonable, particularly because there was "little Commission caselaw discussing that scenario." *Id.* at 115. Similarly, Bakerly made a serious case under the Filed Rate Doctrine, arguing that its interpretation of Seafrigo's Rules Tariff provisions designated Seafrigo as the party responsible for all demurrage and detention charges absent negligence or dereliction of duty. Docket No. 22-17 (October 30, 2024 Order) at 11. Seafrigo's counterargument, that the parties' course of conduct took precedence over the Filed Rate Doctrine, was not a bygone conclusion when the proceedings commenced. Per *Logfret*, Bakerly was entitled to litigate its interpretation of the law. This remains true regardless of how the Commission received its arguments. *See Logfret*, 2 F.M.C.2d 110 at 116 (finding that a claim was not "objectively unreasonable" and warranting a penalty of attorney fees, even if the Commission dismissed it as "weak").

Bakerly’s arguments also bear similarities to those raised by the complainant in *Seafair*, who wanted the respondents to indemnify it against unpaid per diem charges that the complainant advanced in its role as the respondents’ destination agent. *Seafair*, 2024 FMC LEXIS 624 at *9. The Commission found these arguments “novel” but “rationally related to the practices employed and rates charged by Respondents in their capacity as ocean transportation intermediaries.” *Id.* at *9–10. Bakerly, too, made a wholly rational argument that Seafrigo should bear responsibility for demurrage and detention given its failure to exercise due diligence for the contested transactions. *See* Brief at 35. The Commission should therefore reach the same conclusion and agree that the claim does not “necessitate an award of attorney fees.” *Seafair*, 2024 FMC LEXIS 624 at *10.

Finally, the events giving rise to Bakerly’s claims took place during the same period of post-pandemic shipping uncertainty as those from *MSRF*. In that case, the Commission commented that the associated “significant supply chain issues” were “developing in terms of case law and regulation.” *MSRF*, 2024 FMC LEXIS 302 at *14. The Commission was disinclined to punish the complainant for raising a claim deriving from this volatile period given the dearth of reliable precedent. *Id.* The pandemic also produced this dispute by hugely increasing detention and demurrage costs and skyrocketing the financial stakes of the parties’ disagreement. This exact problem, among other related issues, is what led to the Ocean Shipping Reform Act of 2022. Like the *MSRF* complainant, Bakerly made a good-faith attempt to comport its claims with laws and regulations that had not yet been updated to reflect a catastrophic change to the shipping industry. As it did then, the Commission should now recognize the uniqueness of the situation and decide that Bakerly’s arguments, while complex and based on a novel set of facts, were neither improper nor frivolous.

Since the attorney fees statute was updated in 2014, the Commission has awarded attorney fees to a prevailing shipper respondent on only *one* occasion. *Edaf*, 2016 FMC LEXIS 58 at *2. That case, in which the complainant “knowingly disregarded and failed to respond” to orders from an administrative law judge, allowing the proceedings to continue for almost one year “before walking away . . . without notice or communication,” is plainly not on point here. *Id.* at 5. Instead, this case clearly aligns with *Logfret*, *Seafair*, and *MSRF*: all instances where complainants raised legitimate, albeit unconventional, arguments for understandable reasons, and conducted themselves fairly and in good faith throughout the proceedings. Should the Commission recognize this, it would simply affirm a long line of caselaw strongly supporting the Commission’s principle of safeguarding meritorious claims.

CONCLUSION

For the foregoing reasons, Bakerly respectfully requests that the Commission deny Seafrigo’s Petition for an Award of Attorney Fees and Costs.

Respectfully submitted,



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February 18, 2025

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 18th day of February 2025, a true and current copy of the foregoing Response in Opposition to Respondent's Petition for an Award of Attorney Fees and Costs was filed via electronic mail with the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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